**Q.1 If price of MP3 players rises and as a result, the demand for headphones decreases, then one can say that MP3 players and headphones are:**

A. Inferior goods.

**B. Complements.**

C. Substitutes.

D. Normal goods.

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**Q.2 The slope of budget line –Px/PY is also called:**

A. Output price ratio.

B. Output ratio.

**C. Input price ratio.**

D. Input ratio.

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**Q.3 Which of the following is a normative statement?**

A. When the Federal government sells bonds, interest rates rise and private investment is reduced.

**B. Public should properly use their right to vote to elect the right person.**

C. When the price of a good goes up, firms produce more of it.

D. When the price of a good goes up, consumers buy less of it.

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**Q.4 Subcategory of Inferior goods is:**

A. Luxury goods.

**B. Giffen goods.**

C. Normal goods.

D. Expensive goods.

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**Q.5 When the absolute value of price elasticity of demand is equal to one,it means that demand is:**

A. Inelastic

B. Elastic

C. Perfectly inelastic

**D. Unit elastic**

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**Q.6 If price elasticity of supply is infinity,then the supply curve will be:**

A. Rectangular hyperbola

**B. Horizontal**

C. Downward sloping

D. Upward sloping

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**Q.7 What is the formula for calculating the price elasticity of demand?**

**A. Percentage change in quantity demanded / Percentage change in price**

B. Percentage change in quantity supplied / Percentage change in price

C. Percentage change in consumer's income / Percentage change in price

D. Percentage change in consumer's taste / Percentage change in price

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**Q.8 Consumer will consume additional units of commodity until marginal utility becomes:**

A. Equal to the income

B. Equal to one

C. Equal to the utility

**D. Equal to the price**

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**Q.9 When government sets the price of a good below the equilibrium price, the result will be:**

A. An increase in the supply of the good.

B. A decrease in the demand for the good.

**C. A shortage of the good.**

D. A surplus of the good.

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**Q.10 What is barter trade in Economics?**

**A. Exchange of goods with goods**

B. Exchange of goods with money

C. Exchange of goods with silver

D. Exchange of goods with gold

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